Owners and Executives

by Sophia

WHAT'S COVERED

In this lesson, you will think about the top decision makers in an organization. Specifically, this lesson will cover:

1. The Power of the CEO

The expression "pass the buck" means to pass a difficult decision on to somebody else. President Harry S. Truman famously had a sign on his desk that said, "The Buck Stops Here," as a reminder that he couldn't pass on any responsibilities to anyone else. It is an appropriate motto for any top executive.

Recall that the chief executive officer (or CEO) is ultimately responsible for all managerial decisions. Among other things, this means that they are often the ones held accountable by the media, the law, and the public when unethical actions take place. However, you might also recall that the CEO, though a powerful individual, must answer to a board of directors, often a group of shareholders. These representatives may be focused on profit instead of corporate social responsibility (CSR). Conversely (as we saw in the previous tutorial), the board of directors (and specifically shareholders) may be the driving force behind heightened corporate social responsibility.

However, as the leader of a corporation, the owner or CEO may want to be a leader on issues like environmental awareness, social justice, and internal management practices that are equitable. But what if these goals are at odds with shareholders? What if the corporation's goals for shareholder value are focused on short-term gains?

THINK ABOUT IT

> People enter business with a list of personal and professional goals, perhaps written down or perhaps only in their head. Either way, many are likely to have "running a company" at the top of their list. But why do people want to be in charge? While there is money, prestige, and power in a high-ranking position, there may be more intrinsic motivators—to run a company more fairly than you've experienced, to change business practices in an entire industry to be more planet-friendly or people-friendly. It can also be an issue of motivation: control as the ultimate goal, and money, prestige, or power is simply a means to control. Some people desire and thrive on controlling others in ways that may, or may not be, balanced or healthy. The desire to have the corner office, to climb the corporate ladder, or achieve success as a CEO can involve negative aspects associated with competition and cause harm to others along the way. Rather than look at leadership in a business or a corporation as the ultimate "Monarch of the Hill" game, first consider how leadership involves responsibility to others, and your ability to respond may still be limited. Like Peter Parker's Uncle Ben said, "With great power comes great responsibility." Whatever your values, reaching the top in an organization gives you a unique opportunity to act on them. At the same time, people might see it as abuse of power to mix personal beliefs with good business strategy. What values would you want to pursue, and how would you justify them to stakeholders?

The issue of corporate social responsibility is the subject of high-level global discussion and debate among leaders in the public and private sectors, such as the World Economic Forum Annual Meeting in Davos, Switzerland. Numerous respected academic centers also hold forums on CSR, such as the Center on Democracy, Development, and the Rule of Law at Stanford University and the Harvard Law School Forum on Corporate Governance and Financial Regulation.

As we have seen, slow but steady acceptance of CSR as a legitimate business concept has led to the legal and ethical position that corporate directors and managers may exercise business judgment and discretion in running a corporation. This development has come about for multiple reasons:

- the fact that society allows LLCs to exist;
- the sheer magnitude of the economic power corporations possess; and
- the desire of corporations to act responsibly in order to avoid more extensive government regulation.

Managers are usually accorded significant latitude as long as they can point to a rational interpretation of their actions as benefiting the corporation as a whole in the long term. The combination of economic and political power in the world's largest corporations necessitates that executives consider the interests of a broader set of stakeholders, rather than only stockholders. Indeed, social, environmental, and charitable programs often create shareholder value rather than take away from it. And honoring obligations to all stakeholders in a corporation—including those who own no stock shares—is the ethical minimum a firm must undertake to satisfy the base threshold for acting ethically.

A recent study by researchers at Princeton and the University of Texas indicates that corporations benefit from following CSR policies in multiple ways. These benefits are collectively called a "halo effect" and can add value to the business. As an example, consumers frequently take CSR spending as an indirect indicator that a company's products are of high quality, and often they are also more willing to buy these products as an indirect way of donating to a good cause.

2. Opposition to Leader Initiatives in CSR

However, some economists, such as Milton Friedman, Henry Hazlitt, Adam Smith, and others, have argued (in their own time, in their own context) that CSR initiatives based on anything other than profit, like environmental or social justice, instead *limit* shareholder wealth. For example, the Nobel Prize-winning economist Milton Friedman (1912–2006) believed shareholders should be able to decide for themselves what social initiatives to donate to or to take part in, rather than having a business executive decide for them. He argued that both government regulation and corporate social initiatives allow an outside third party to make these choices for shareholders. The supreme value in operation is freedom, and by extension, the free market. Decisions that limit that freedom are viewed negatively.

In Friedman's opinion, too much power assumed by corporate management in pursuing a social agenda might ultimately lead to a form of corporate autocracy. Supporters of the profit maximization principle believe it is a waste of corporate resources to reduce air pollution below the level required by law, to require vendors to participate in a sustainable supply chain initiative, or to pay lower-level employees a salary above the legally mandated minimum wage. Friedman asserted that "doing good deeds" is not the job of corporations; it is the right of those people who want to do them, but it should not be imposed on those who do not. His philosophy asserts that socially oriented initiatives are analogous to a form of outside regulation, resulting in higher costs to those corporations that follow socially responsible policies.

When Friedman was laying out this position in the 1970s, it reflected the prevailing opinion of a majority of U.S. shareholders and commentators on corporate law at that time. In the years since then, however, Friedman's perspective has fallen into disfavor with some people, and is increasingly an area of debate. This does not invalidate his point of view, but it does demonstrate that public opinion about corporations is subject to change over time. The subjectivity or relativity with which we view companies along with their perceived rights and responsibilities is a major theme this text addresses.

3. Fiduciary Duty

As noted in the previous tutorial, it is also not always the case that shareholders are only interested in maximizing profits but may instead be the energizing force for corporate social responsibility. But the question remains if corporate directors owe a specific fiduciary duty to shareholders.

A **fiduciary duty** is a very high level of legal responsibility owed by those who manage someone else's money, which includes the duties of care and loyalty. Some examples of relationships that include a fiduciary duty are those between a trustee of an estate and its beneficiary, and between a fund manager and a client. According to the American Bar Association, the business judgment rule states "that as fiduciaries, corporate directors owe the corporation and its shareholders fiduciary duties of diligence and fidelity in performing their corporate duties. These fiduciary obligations include the duty of care and the duty of loyalty . . . the duty of care consists of an obligation to act on an informed basis; the duty of loyalty requires the board and its directors to maintain, in good faith, the corporation's and its shareholders' best interests over anyone else's interests."

So, it would seem that the answer is yes, corporate directors do have a specific fiduciary duty to promote the best interests of the corporation. But what exactly does that duty entail? Does that specifically mean returning profits to shareholders in the form of dividends? As we have seen, these questions have frequently spilled over into the courts, in the form of shareholder lawsuits challenging the actions of directors and/or management.

UCLA law professor Steven Bainbridge wrote in the *New York Times*: “If directors were allowed to deviate from shareholder wealth maximization, they would inevitably turn to indeterminate balancing standards, which provide no accountability.” As support for his position, Bainbridge pointed to a 2010 case, *eBay Domestic Holdings Inc. v. Newmark*, in which a Delaware court ruled that corporate directors are bound by fiduciary duties and standards that include “acting to promote the value of the corporation for the benefit of its stockholders.”

However, Lynn Stout, a professor at Cornell University Law School, wrote a contrasting piece in the *New York Times* in which she said, “There is a common belief that corporate directors have a legal duty to maximize corporate profits and shareholder value—even if this means skirting ethical rules, damaging the environment or harming employees. But this belief is utterly false. Modern corporate law does not require for-profit corporations to pursue profit at the expense of everything else, and many do not.” Her opinion is based in part on the Hobby Lobby decision to grant religious exceptions to the owners in meeting the demands of the Affordable Care Act. Unlike most of the examples we’ve seen, Hobby Lobby’s actions were conservative, claiming that corporate personhood included religious freedom which could be applied to the benefits given or denied to employees. Importantly, Hobby Lobby is also a privately held corporation, so there is no worry about angering investors, although they could lose customers and employees.

BIG IDEA

To grasp the extent of the ethical dilemma with a CEO’s social initiatives, presume a company you are invested in is investing in a social movement you disagree with. Would you continue to invest in this company, or would you move your money elsewhere? Further, would you continue to do business with this company, or would you purchase products and services from another company where you believe in their social movement?

Thus, while ethicists may agree that corporations do indeed owe social responsibilities to society, legal experts still differ over this point. The fact that we have seen inconsistent decisions from the courts over the last century confirms the lack of legal consensus. Of course, both legal and ethical opinions are always in flux, so where the debate stands today in no way indicates where it will be in ten years. On this issue, public opinion, as well as that of politicians and even the courts, is like a pendulum swinging back and forth, usually between points of view that are center-right or center-left, rather than at the extremes. However, the pendulum is reset every so often, and the arc within which it swings may differ from era to era.

Another potential problem with a corporate leader pursuing social agendas is protecting the interests of minority shareholders who disagree with the majority. Since corporation law is state law, the protections for minority shareholders vary widely, but owners of a small number of shares have little or no power to influence the choices the corporation makes. Some states allow cumulative voting for seats on the board of directors, which increases minority shareholder power. Others permit buyouts or dissolution statutes that apply to closely held corporations. However, in a traditional large corporation, none of these protections for minority interests are likely to apply. Of course, another option is for disgruntled shareholders to sell their shares. But many would argue that businesses should “stay out of” social or political issues so investors are not driven to that.

In the long run, stakeholder welfare must be kept at the heart of each company’s business operations for these significant, twin reasons: It is the right thing to do, and it is good for business. Still, if managers need additional incentive to act on the basis of policies that benefit stakeholders, it is useful to recall that stakeholders who believe their interests have been ignored will readily make their displeasure known, both to company management and to the much wider community of social media.

TERM TO KNOW

Fiduciary Duty
A very high level of legal responsibility owed by those who manage someone else's money, which includes the duties of care and loyalty.

SUMMARY

In this lesson, you learned about **the power of the CEO**, and how great power is associated with great responsibilities to shareholders, workers, and the community, even the nation and planet. You read about the debate in terms of the freedom of corporations to make decisions and **opposition to CSR initiatives**. From a purist perspective, anything that threatens profit is viewed negatively, but what constitutes profit is a point of increasing debate. From social capital to brand reputation, to responsible civic partnership, some end goals of business can be more abstract, and difficult to measure. **Fiduciary duty** involves the ethical and legal responsibility associated with managing other people's money. Power, control, responsibility, and the many facets of profit are all associated with business ethics.

TERMS TO KNOW

Fiduciary Duty
A very high level of legal responsibility owed by those who manage someone else's money, which includes the duties of care and loyalty.